

Fearnleys VLGC Report: Q3 2026

Oct 30, 2026

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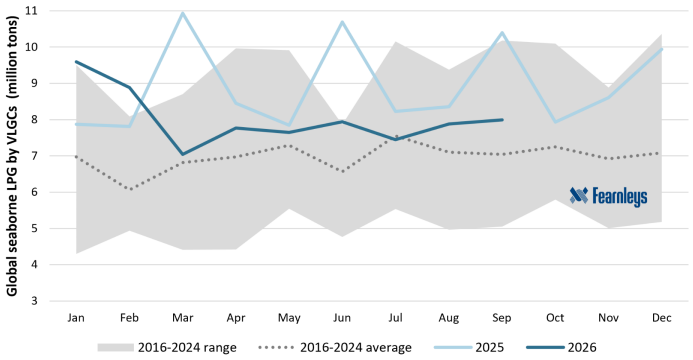
The Quiet Quarter?

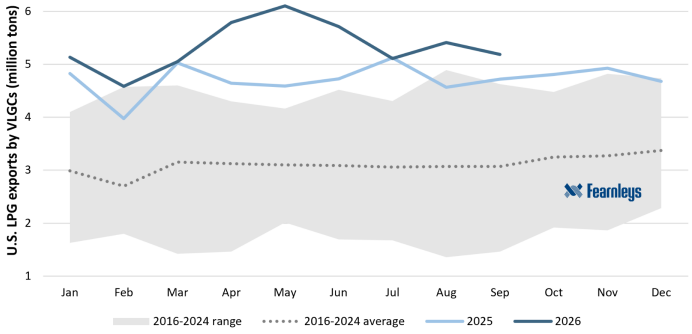
Q3 marked the transition from an acute disruption in the Strait of Hormuz to a more prolonged, structural constraint on Middle East LPG exports. This has forced Asia to rely increasingly on longer-haul U.S. supply, sustaining tonne-mile demand well above pre-war trade patterns. The resulting increase in ship demand has been a key driver of the exceptionally strong freight market, with rates surging and remaining at unusually high levels throughout the quarter. BLPG1 TCE averaged $215,000 p.d., compared with $183,000 p.d. for BLPG2 and $159,000 p.d. for BLPG3, bringing the overall average to $178,000 p.d.

At the same time, the exceptional earnings environment has prompted another wave of newbuilding orders, further increasing an already sizeable orderbook and adding to longer-term oversupply concerns.

Global seaborne LPG volumes have recovered steadily since the onset of the Middle East war, with strong U.S. LPG exports playing a key role in offsetting reduced Middle East supply. VLGC liftings averaged around 7.5–8 million tons per month in Q3, of which roughly 5–5.5 million tons were sourced from the U.S., slightly below the record-high 6 million tons exported in May.

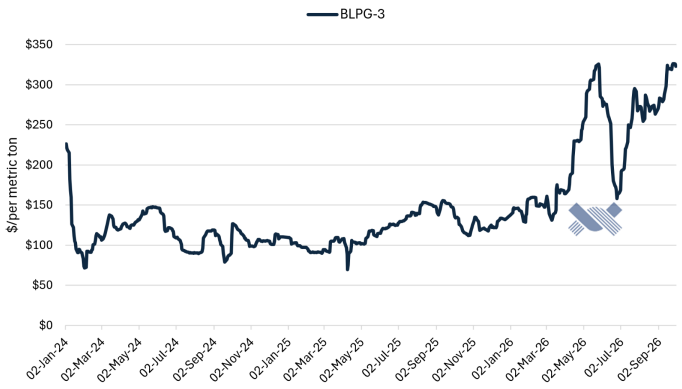
With U.S. propane inventories at the upper end of the historical range, supply fundamentals remain supportive of strong LPG exports through Q4. This will be complemented by Enterprise's latest terminal expansion, which is expected to add approximately 9 million tons of annual export capacity. The additional capacity will be increasingly important heading into the new year, particularly if constraints on Middle East LPG supply persist.



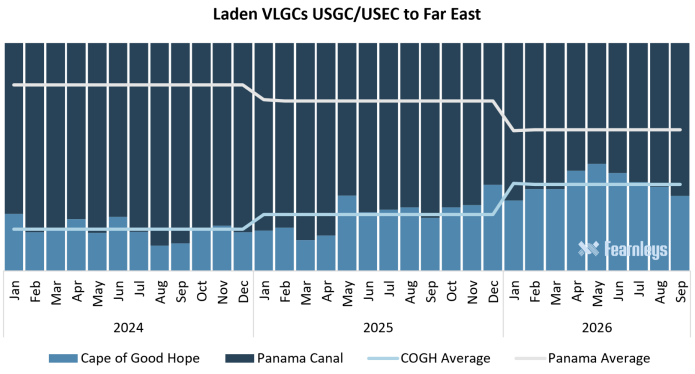


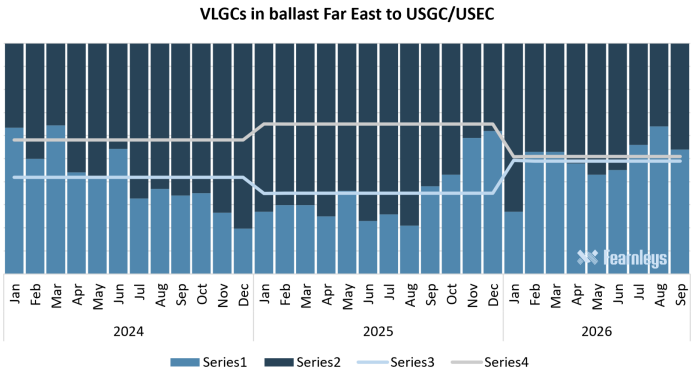
Although the arbitrage narrowed towards the end of Q2, it began widening again during Q3 and averaged $389 for the quarter, largely reflecting a stronger Far East Index.

BLPG3 remained exceptionally firm, averaging $271/mt in Q3 and climbing to $326/mt by the end of September. Strong U.S. export volumes continued to support ship demand, while increased U.S.-Asia flows intensified pressure on the Panama Canal and pushed auction fees sharply higher. A VLGC paid as much as $5.3 million for a transit slot in August. However, the combination of high fees and significant cost volatility increasingly encouraged ships to reroute via the Cape of Good Hope, supporting tonne-mile demand while simultaneously easing some of the pressure on Panama Canal auction fees.



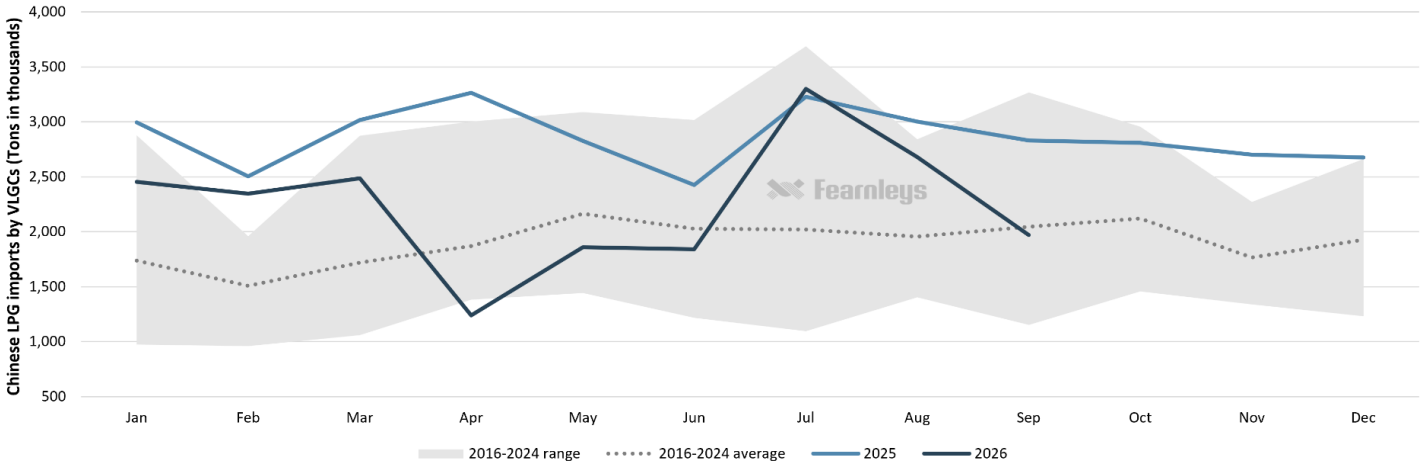
The growing number of ships opting for the longer route has significantly increased tonne-mile demand and absorbed a substantial share of available fleet capacity. Longer voyage durations have consequently reduced effective ship supply, helping the market absorb the 30 newbuilds delivered by the end of Q3.





The share of laden VLGCs opting for the COGH route has increased significantly, from an average of 25% in 2025 to 38% so far in 2026. An even more pronounced shift can be seen on the return leg, with the share of ships ballasting from the Far East to the U.S. Gulf and East Coast increasing from 25% in 2025 to 49% in 2026.

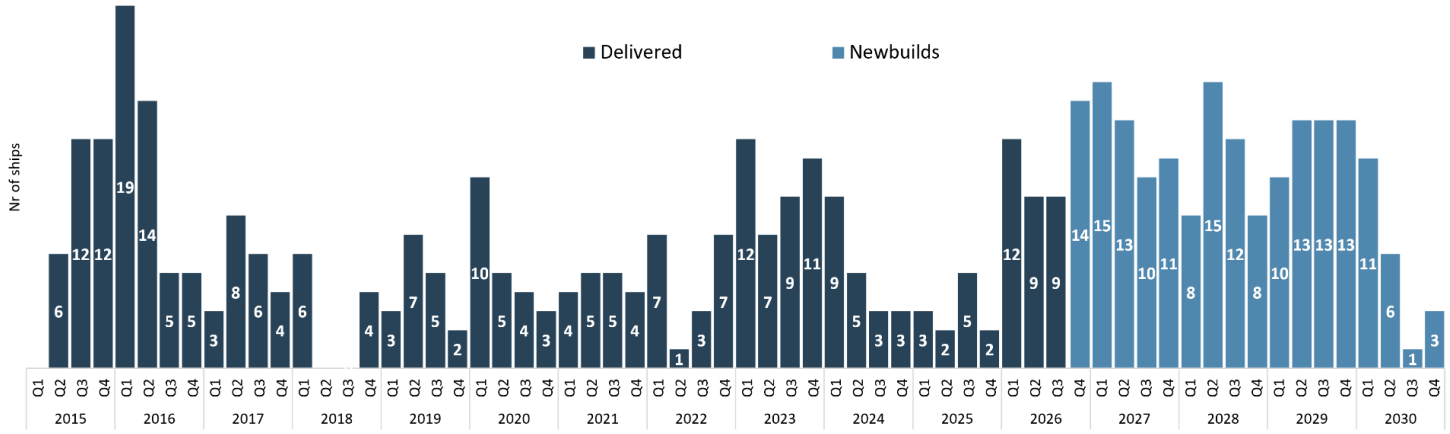
The shift in routing highlights an increasingly important structural feature of the VLGC market: sailing patterns have become a key determinant of effective fleet supply. At the same time, Panama Canal transit availability was reduced during Q3 following the re-emergence of El Niño conditions and increased pressure on water reserves. Draft restrictions were also introduced, although the impact on VLGC transits remained limited. Conditions improved towards the end of the quarter, allowing the Panama Canal Authority to begin reversing the restrictions. Consequently, earlier concerns over a dry Q4 and further transit limitations have eased somewhat.



Chinese LPG demand has remained volatile since the outbreak of the war, largely reflecting shifts in product availability and relative pricing. Following weak imports in Q2, improved import economics and pent-up demand supported a strong rebound in Q3. China imported 3.3 million tons by VLGCs in July, the highest monthly volume recorded in two years, followed by 2.7 million tons in August. Imports subsequently eased to 2.0 million tons in September, broadly in line with the 10-year monthly average. At the same time, Chinese PDH operating rates recovered sharply, reaching 73% during Q3 compared with around 40% in Q2. Nevertheless, tight propane supply continues to weigh on capacity additions, with all PDH start-ups originally scheduled for 2026 postponed to 2027.

The Far East Index averaged $770/mt during Q3, increasing from $594/mt in July to $874/mt in September. Stronger Far East pricing supported a wider East-West arbitrage, although rising Mt. Belvieu prices limited the extent of the widening.

Ordering accelerates on exceptional earnings, pushing the orderbook to 39% of the fleet



Nine VLGC newbuilds were delivered during Q3, bringing total 2026 deliveries to 30 ships, with another 14 scheduled to enter the fleet during Q4. The global VLGC fleet now stands at 442 ships, while the orderbook has grown to 173 ships, equivalent to 39% of the existing fleet. This represents an 8% increase during Q3, reflecting another strong quarter of newbuilding activity. A total of 91 VLGCs have been ordered year-to-date, compared with only 14 during the entirety of 2025. This represents a 550% year-on-year increase and is 54% above the previous annual ordering record of 59 ships in 2024.

While the long-term fundamentals for LPG demand remain supportive, absorbing the rapidly expanding VLGC order-book will require substantial growth in both export capacity and available cargo volumes. The Middle East was originally expected to increase LPG export capacity by more than 20% across 2026 and 2027, with further additions towards 2030. The timing and execution of these projects have therefore become increasingly important to the long-term fleet balance. Much of the outlook towards 2030 consequently depends on how the Middle East situation develops.

The U.S. continues to increase both LPG production and exports, but U.S. growth alone is unlikely to provide sufficient cargo demand to absorb the scale of incoming fleet capacity. The market has so far benefited significantly from longer voyages, with increased tonne-mile demand absorbing ship capacity and supporting freight rates despite substantial fleet growth. However, routing inefficiencies can only offset additional ship supply to a certain extent. If Middle East supply growth fails to materialize and the U.S. remains the primary source of incremental LPG exports, fleet growth could eventually outpace cargo growth, leaving an increasingly large number of newbuilds competing for insufficient employment. This would materially increase the risk of oversupply, resembling the fleet-capacity pressures seen in LNG shipping in recent years.

Supportive near-term outlook, but fleet growth remains the key longer-term risk

The outlook for Q4 will largely depend on developments surrounding the Strait of Hormuz and the pace at which Middle East LPG exports can recover. Importantly, we continue to expect the normalization of Middle East LPG trade to be a multi-month process rather than a single event, even following an official reopening of the Strait.

The U.S. mid-term elections could become another important catalyst for the market, depending on the outcome. At the same time, strong U.S. LPG production and well-supplied propane inventories are expected to support continued high export availability through Q4. This will be further reinforced by additional export capacity from Enterprise's terminal expansion in December, strengthening the U.S.' ability to supply the global market.

Against a backdrop of continued geopolitical uncertainty and disrupted global trade patterns, earnings are expected to remain highly sensitive to changes in trading routes and cargo availability. However, with a growing share of the fleet operating on longer-haul routes via the COGH, effective ship supply is expected to remain constrained, supporting fleet utilization and freight rates through the remainder of the year.

Beyond 2026, the outlook becomes increasingly dependent on the balance between cargo growth and the rapidly expanding fleet. As deliveries accelerate into 2027 and beyond, the growing orderbook is expected to increase oversupply risk, particularly if anticipated Middle East export growth is delayed or fails to materialize.

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